

Website	edgerunnerai.com
Founded	2024
Raised	\$17.5M
HQ	Seattle, Washington

About the Company

- **Develops secure, domain-specific generative AI agents** that run entirely on edge devices, for Defense & National Security, with expansion into Federal Government, Critical Infrastructure, and Regulated Enterprise
- **Proprietary edge AI technology** that runs fully offline, hardware-agnostic, and eliminates dependence on cloud infrastructure
- **Mission:** build safe, secure, transparent generative AI that operates directly on edge devices, giving organizations full control over sensitive data

Funding History

2024	\$5.5M	Seed
2025	\$12M	Series A

Traction / Milestones:

2024	Founded; emerged from stealth after Seed round
2025	Signed CRADA with U.S. Air Force Research Laboratory (AFRL)
2025	Named Awardable Vendor, DoD CDAO Tradewinds Marketplace
2025	Public beta launched for DoD users at no cost; U.S. Space Force SSC case study ("AI Battle Buddy")
2025	Named to CB Insights AI 100

Why Invest in this company?

1. Promising investment for financial return

- **Large Market:** Edge AI market is \$24.9B today, growing 21.7% CAGR to \$118.7B by 2033. AI in Defense/Military market is \$10.5B today, growing to \$19.3B by 2030.
- **Differentiated tech / core IP:**
 - Domain-specific Small Language Models (SLMs) run fully offline, hardware-agnostic across chip architectures — faster to deploy and far more secure than cloud-dependent LLM approaches
 - Perfect for defense/gov applications where connectivity is prohibited and data cannot leave the device, e.g. classified and air-gapped environments
 - Opportunity for expansion into critical infrastructure, healthcare, finance, and other regulated enterprise verticals
 - First-mover advantage: direct AFRL/DoD relationships and DoD Tradewinds vendor status established within 18 months of founding, ahead of most competitors
- **Qualified Team with Founder-Market Fit:** CEO (ex-Stability AI) has frontier generative AI research background; Co-founder (ex-AWS) has enterprise cloud infrastructure experience
- **Multiple Exit Options**
 - **Best case:** large revenue pools to go after if company executes well on gov/defense distribution. Comparable defense AI/tech companies have scaled to \$100M+ ARR (Shield AI, Govini) or raised \$100M+ (Shield AI, Saronic, Vannevar Labs, CHAOS Industries) on the strength of gov relationships alone.
 - **Worst case:** Numerous M&A options if company struggles on GTM, since company has proprietary tech and gov relationships. Adjacent edge-inference company Mipsology was acquired by AMD in 2023 — precedent for consolidation in this space.

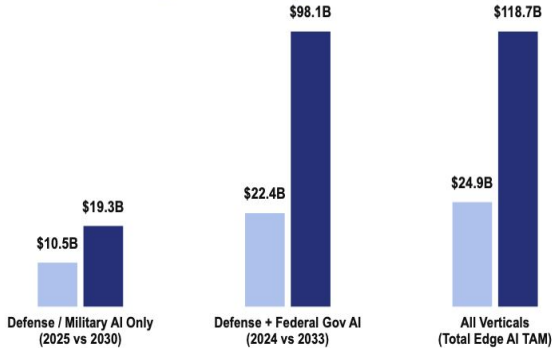
2. Strong strategic fit with HP Tech Ventures & HP Inc

- **Edge AI is both an opportunity and a competitive necessity for HP:** HP has publicly committed to an "AI PC" and on-device AI strategy (HP IQ, launched 2026) across its PC, print, and meeting-room hardware, and positions HP Wolf Security as its core differentiator for enterprise and federal endpoint sales.
- **Strategic Partnership and Follow-On Investment Opportunity with EdgeRunner:** HP Tech Ventures already participated in EdgeRunner's Series A. HP could deepen this relationship by embedding EdgeRunner's on-device SLMs into its federal/enterprise device and Wolf Security portfolio, or pursue a larger strategic stake or acquisition to accelerate its edge-AI roadmap.
- **Chance to be Value-add investors:** HP's decades of experience selling into federal and enterprise IT channels, and its existing footprint in government device procurement, can help EdgeRunner scale distribution, navigate DoD/federal contracting, and defend against larger cloud and compute incumbents entering the space.

Note: this strategic-fit thesis is our own analysis based on HP's publicly stated edge-AI strategy and its existing investment via HP Tech Ventures — it is not a confirmed partnership.

Market Opportunity

■ Current (2024/25) ■ Long-term forecast



- Defense/military AI alone is a \$10.5B market today, growing at 13% CAGR to \$19.3B by 2030 (Grand View Research)
- Total edge AI TAM will be \$118.7B by 2033 across defense, federal gov, critical infrastructure, healthcare, finance, and other regulated verticals (21.7% CAGR)
- Defense is the highest-security, first-beachhead segment within the broader edge/gov AI category — the natural place for a new entrant like EdgeRunner to prove the model before expanding
- North America makes up ~35% of the global edge AI market — a good initial target geography, matching EdgeRunner's DoD/AFRL relationships

EdgeRunner's solution & why it's appropriate for this Market

Traditional Gen AI tech

Common approach: cloud-hosted LLMs (see appendix for info)

- Cloud-dependent process:** requires constant internet connectivity; every query round-trips to a remote data center
- Not suitable for classified/air-gapped use** — data must leave the device/network, which is a non-starter for defense and regulated customers
- Better for general-purpose consumer/enterprise** chat where connectivity and cloud cost are not constraints

EdgeRunner's technology

Proprietary Technology: domain-specific Small Language Models (SLMs) + AI agents

- Runs entirely on local hardware**, hardware-agnostic across chip architectures — no internet connection required, ever
- Ideal for classified, air-gapped, and tactical environments** where data cannot leave the device and connectivity cannot be assumed
- Not suitable for general-purpose**, connectivity-assumed consumer applications where cloud-scale foundation models are more cost-effective

Competitive Landscape

Large / Legacy Companies

Company	Stage	Industries	Technologies
NVIDIA	Public, \$3T+ mkt cap	Multiple	Jetson, CUDA, TensorRT
AWS Greengrass	AWS division, \$100B+ rev	Multiple	Cloud-to-edge ML
Microsoft Azure IoT Edge	MSFT division, \$280B+ rev	Multiple	Azure IoT/Al; also built an air-gapped LLM for U.S. intelligence agencies (2024)
IBM Edge App Manager	Public, ~\$60B rev	Multiple	Edge orchestration
C3 AI	Public, ~\$380M rev	Defense, gov, energy	Enterprise AI apps

Well-Funded Startups (high-growth/private)

Company	Stage	Industries	Technologies
Latent AI	Series B, \$50M+ raised	Defense, aerospace, gov	Model compression, edge inference
Edge Impulse	Series B, \$54M+ raised	Industrial IoT, healthcare	TinyML, embedded ML
Hugging Face	Series D, \$395M+ raised	Al/gen AI, research	Open-source models, transformers

Adjacent Threats & Notable Moves

Company / Move	Signal	Relevance
Microsoft air-gapped IC LLM	Launched 2024	Only large player currently shipping an air-gapped gen AI model for a U.S. gov customer — closest direct threat
Mipsology → AMD (2023)	Acquired	Precedent for M&A consolidation in edge-inference optimization
Shield AI, Anduril, Saronic, Vannervar Labs	\$100M–\$2B+ raised	Broader defense-tech capital pouring in validates category, though these focus on autonomy/hardware, not on-device gen AI specifically

→ **EdgeRunner is in a competitive environment but with a differentiated, gov-validated position** (only Microsoft has shipped a comparable air-gapped gen AI product, and only for one customer segment; no startup combines domain-specific SLMs with EdgeRunner's DoD/AFRL relationships). EdgeRunner should defend and deepen its defense beachhead, then expand into federal civilian and regulated enterprise. **Fast execution on GTM and continued gov relationship-building will make or break this company.**

Leadership Team

TS

CEO: Tyler Saltsman
Co-Founder & CEO

- Former leader at Stability AI — frontier generative AI model development and deployment experience
- Focus on optimizing foundation models for edge and on-device use cases

CM

Co-Founder: Colton Malkerson
Co-Founder

- Former leader at AWS — enterprise cloud infrastructure and platform experience
- Relevant to building a reliable, scalable platform for enterprise/gov customers

Team Strengths

- Has the strong technical foundations required for a deep-tech venture, where right-to-win is determined largely by product differentiation from the existing landscape of cloud-based gen AI
- Complementarity of experience between CEO / Co-founder is positive; while CEO is a frontier-model research expert, co-founder adds enterprise infrastructure and platform discipline

Possible gaps:

No public evidence of specific defense/government sales experience on the founding team; large-scale enterprise/federal channel relationships; experience navigating DoD accreditation processes (ATO, IL5/IL6).

Risks & Areas of Further Diligence Required

1. **Market Demand:** is the value prop (security/latency/no-connectivity) of on-device SLMs real at scale beyond AFRL and Space Force SSC? What's been the response from other DoD branches and federal civilian agencies?
2. **How does the team plan to commercialize beyond DoD pilots?**
- Direct sales vs. channel/systems-integrator partnerships?
 - Licensing model vs. per-deployment/seat pricing?
 - How do they plan to win agencies already piloting Microsoft's or other incumbents' air-gapped AI?
 - What does the pipeline beyond AFRL/Space Force look like, and what's the revenue ramp expected?
3. **Purchasing-decision economics:**
- How does EdgeRunner's pricing compare to running an internal/open-source model on existing gov hardware?
 - What contract vehicles (IDIQ, OTA, Tradewinds) will actually carry revenue at scale?
4. **Unit economics:**
- What does it cost to build/fine-tune and support one domain-specific SLM deployment?
 - What is CAC to win one agency/base, and LTV once embedded?
 - What is current cash burn, and how much will EdgeRunner need to raise to reach meaningful revenue scale?
5. **Technology Defensibility and IP:** How hard is it for NVIDIA, Microsoft, or a well-funded startup to replicate the compression/optimization approach? Are there patents, and if not, how is IP protected?
6. **Product Expansion Roadmap:** What's the next vertical beyond defense — federal civilian, critical infrastructure, or regulated enterprise? What will it cost to adapt the tech, and what's the incremental market?
7. **Regulatory Obstacles:** What accreditations (ATO, DoD IL5/IL6, FedRAMP) are required to sell more broadly across DoD and federal civilian agencies? Where is EdgeRunner in that process today?

APPENDIX: Deep-Dives and Detailed Diligence Notes Referenced in this Memo

Market Opportunity



Diligence Notes



Source Synthesis

Company's Product/Tech



Diligence Notes



Source Synthesis

Leadership Team



Diligence Notes



Source Synthesis

Competitive Landscape



Competitor Detail Sheet



Source Synthesis

Other



Risks Analysis



Open Questions List